that market fluctuations are inevitable, and even the most experienced investors may struggle to predict market highs and lows accurately.

Investing through SIPs eliminates the guesswork and emotional bias associated with investing. What you get is a method to invest regularly, irrespective of market conditions. When investing through SIPs, you also benefit from affordability. SIPs allow you to invest Rs 500 or less per month or a much higher sum, running into lakhs. The historical performance of several MFs when investing through SIPs indicates higher returns compared to an equivalent lump sum investment during the same period. It is for this reason that you should continue to invest through market downs and ups to benefit from the full investment cycle.

A VOLATILE MARKET CAN LEAD TO HEIGHTENED EMOTIONS. LEARN TO CONTROL YOUR ACTIONS, RATHER THAN BEING SWAYED BY EXCITEMENT OR WORRY

↘ VOLATILITY AS OPPORTUNITY

Just as you need your heart to beat to stay alive, stock markets need to be volatile to attract investors and perform well in the long run. You could adopt different investment strategies to benefit from volatility. For example, asset allocation—the bedrock of long-term, successful investing—is designed to reduce volatility by spreading investments across different asset classes. MFs are structurally designed to help achieve asset allocation by developing funds that have the investment mandate to spread investments across different asset classes within a specified range.

Through diversification, within different asset classes, you can benefit from spreading your investments. For example, when the prices of small-cap stocks are falling, large-cap stocks or international stocks within the portfolio may be moving up, along with bonds and other debt-related assets. You could also benefit from certain types of MF schemes (See *Flexible Navigation*), which are designed to benefit from volatility.

You can use volatility to revisit your portfolio and adjust it as needed. For example, during an upward fluctuation, you may wish to exit some investments from equities and reroute them to debt instruments. The same goes for the case when the markets are down, when you could consider it as an opportunity and move some of your money from debt instruments to equities. The rebalancing act also forces you to reconsider your investments based on your financial goals and prioritise them according to existing market conditions.

Looking back at the historical performance of stock markets, no matter how low they dipped (as seen in the early COVID months of 2020), they have bounced back and gone up to set new highs. As an investor, you need to remain calm and disciplined during a market downturn to capitalise on the potential benefits of future market growth. The longer you stay invested, the better your chances of coping with volatility and gaining from it. ■